

Escrow Allocation Flow

Why Do We Need Allocations?

When a brand funds a campaign, the entire campaign amount is deposited into a single TradeSafe escrow transaction.

However, multiple creators may be working on the same campaign.

Example

Campaign Budget = █100,000

Creator A = █40,000

Creator B = █25,000

Creator C = █35,000

Instead of creating three different escrow transactions, the backend creates one escrow transaction and divides it into multiple escrow allocations.

Each allocation represents the amount reserved for one creator.

Step 1. Assign Creators

The backend first assigns creators to the campaign.

Campaign → CampaignAssignment

Each assignment stores:

campaignId

creatorId

agreedAmount

status

Example

Creator A – █40,000

Creator B – █25,000

Creator C – █35,000

Step 2. Create Escrow Allocations

After the campaign has been funded, the backend calls createEscrowAllocations().

The backend:

- fetches the funded escrow account
- fetches all campaign assignments
- validates that allocations do not already exist
- creates one allocation for each creator

Example:

Escrow Account █100,000 → Allocation 1 █40,000 → Allocation 2 █25,000 → Allocation 3 █35,000

Database – EscrowAllocation

escrowAccountId

campaignAssignmentId

amount

releasedAmount
status

Initially:
releasedAmount = 0
status = pending

Step 3. Sync Allocations to TradeSafe

Creating allocations in our database is not enough.

TradeSafe also needs to know:

- who will receive money
- how much each person should receive

The backend therefore calls `syncEscrowAllocationsToTradeSafe()`.

Preparing Allocation Payload

For every creator:
Creator A → ■40,000

the backend creates:

```
{  
  "title": "Assignment-12",  
  "value": 40000,  
  "daysToDeliver": 7,  
  "daysToInspect": 7  
}
```

This becomes a TradeSafe Allocation.

Preparing Parties

Every creator becomes a seller inside TradeSafe.

Example:

```
{  
  "token": "creatorTradeSafeToken",  
  "role": "SELLER",  
  "reference": 12  
}
```

The reference stores the internal creator ID so the backend can map the TradeSafe party back to the correct creator.

Step 4. Update TradeSafe Transaction

Instead of creating a new transaction, the backend updates the existing one.

`updateTransaction()`

This adds:

- creator allocations

- seller parties

to the already funded TradeSafe transaction.

TradeSafe Transaction → Allocation A → Allocation B → Allocation C → Seller A → Seller B → Seller C

Step 5. Fetch Updated Transaction

After updating TradeSafe, the backend calls `getTransaction()`.

TradeSafe returns:

Allocation IDs

Party IDs

Example:

TradeSafe Allocation ID: ALC_9823

TradeSafe Party ID: PTY_1234

Step 6. Store TradeSafe IDs

Finally the backend saves:

`tradeSafeAllocationId`

`tradeSafePartyId`

inside every `EscrowAllocation`.

This allows future payout requests to identify exactly:

- which allocation should release money
- which creator should receive it

Complete Payment Flow

Brand → Create Campaign → Assign Creators → Fund Campaign → TradeSafe Transaction Created → Payment Completed → Webhook Received → Escrow Funded → Create Escrow Allocations → Sync Allocations to TradeSafe → Each Creator gets Individual Allocation → Money can later be released individually